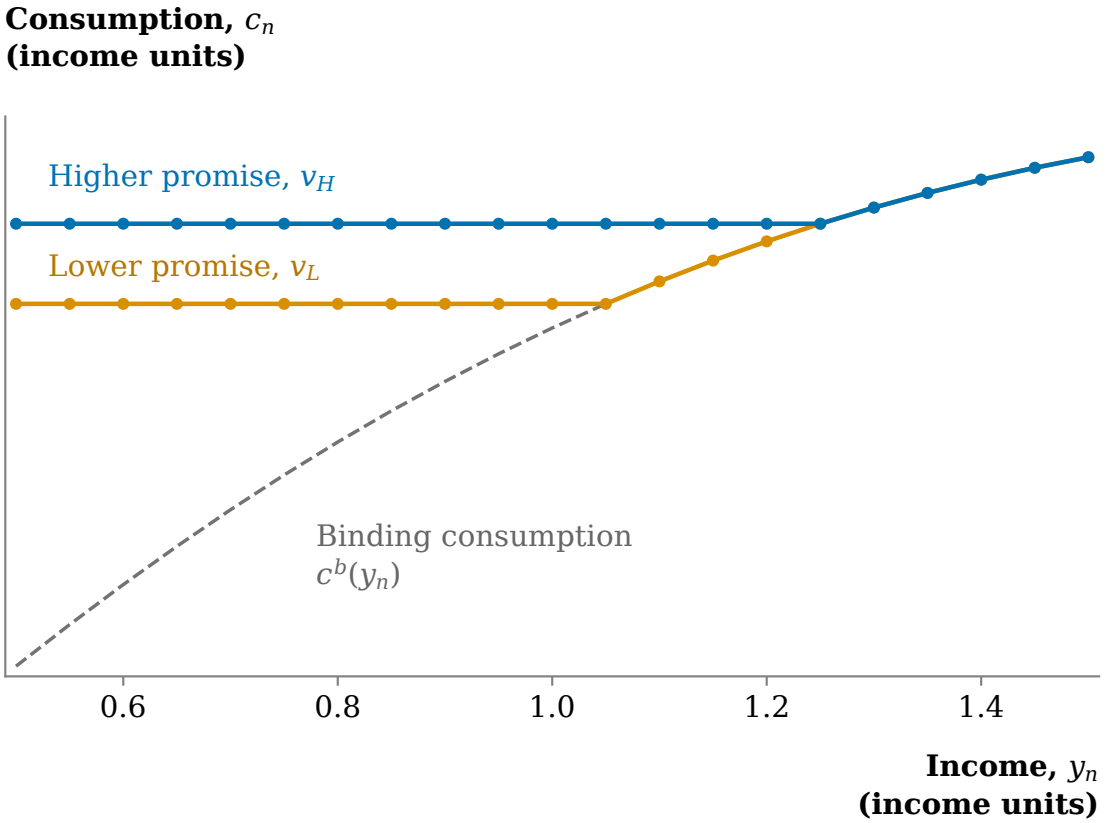
Consumption, c_n
(income units)
Higher promise, v_H
Lower promise, v_L
Binding consumption
$c^b(y_n)$
0.6
0.8
1.0
1.2
1.4
Income, y_n
(income units)